What happened with that position?

We still hold it, although we have traded around the position. It is up over 50 percent from where we originally bought it.

With the security guard coming in with increasing frequency and Claugus tired after a long day, we decided we would continue our interview the next day. I met Claugus the following day at the conference during lunch break. Against my better judgment and prior experience, I agreed to continue our conversation over lunch in the hotel restaurant, which grew steadily noisier as the interview progressed. Deciphering the resulting taped conversation through the background din was a job worthy of the FBI. After repeated listenings with the sound turned up to uncomfortably loud levels, I was able to make out most of our conversation. It is the absolute last time I ever do an interview over a meal.

I checked your net exposures and was surprised to see that you were only modestly short near the end of the tech bubble. Wouldn't your long-term valuation model have indicated a more decisive net short position at that juncture? Surely, the market must have been near the upper part of the valuation range at that point.

We were supposed to be more heavily net short. Our target exposure for the fourth quarter of 1999 was 70 percent net short. However, we were losing money so fast that we had to back off our position. Every day, I would come in and we would be down another 1 percent. It got to the point where I said, "I may be right, but I have to shrink the portfolio." What I did was that for every 1 percent the portfolio lost, I reduced the exposure by 2 percent. As a result, instead of being 70 percent short, we went into the fourth quarter of 1999 at 70 percent short and 50 percent long, or only 20 percent net short.

I thought I might replace some of the shorts once the market broke, but I didn't have the guts. I have people tell me all the time that I should short stocks after they break. All I can tell you is that if you didn't short the stock when it was 80, psychologically, it is very difficult to sell it when it's 50.

Do you have specific risk management rules?